

Master Direction on Know Your Customer (KYC) Norms

Illustrative Direction No. AT/2024-25/01 - Synthetic Sample

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1. Scope and Applicability

This Direction applies to every Regulated Entity (RE), which for the purposes of this document means scheduled commercial banks, small finance banks, payments banks, co-operative banks, non-banking financial companies, and all payment system operators authorised to operate in the domestic market.

Every RE shall frame a KYC policy approved by its Board. The policy shall incorporate, at a minimum, a Customer Acceptance Policy, a Customer Identification Procedure, procedures for Monitoring of Transactions, and a documented Risk Management framework.

The Principal Officer designated under this Direction shall be an officer not below the rank of General Manager, and shall be responsible for ensuring compliance, monitoring transactions, and sharing information with the Financial Intelligence Unit.

2. Definitions

'Customer Due Diligence' (CDD) means identifying the customer, verifying that identity using reliable and independent source documents, identifying the beneficial owner, and understanding the purpose and intended nature of the business relationship.

'Occasional Transaction' means a transaction carried out by a person who does not have an established account-based relationship with the Regulated Entity.

'Politically Exposed Person' (PEP) means an individual who is or has been entrusted with a prominent public function in India or in a foreign country, including Heads of State, senior politicians, senior government officials, judicial or military officers, senior executives of state-owned corporations, and important political party officials.

'Beneficial Owner' means the natural person who ultimately owns or controls a customer, or the natural person on whose behalf a transaction is being conducted.

'Suspicious Transaction' means a transaction, whether or not made in cash, which to a person acting in good faith gives rise to a reasonable ground of suspicion that it may involve proceeds of crime, or appears to have no economic rationale or bona fide purpose.

3. Customer Due Diligence Thresholds

Customer Due Diligence shall be carried out in full at the commencement of every account-based relationship, irrespective of the value of the first transaction.

For occasional transactions carried out by a person who is not an account holder, the Regulated Entity shall undertake Customer Due Diligence where the amount of a single transaction, or of several transactions that appear to be linked, is equal to or exceeds Rupees 50,000. This is referred to in this Direction as the CDD threshold.

Where a transaction falls below the CDD threshold but the Regulated Entity has reason to believe that the customer has deliberately structured it, or a series of such transactions, to remain below that threshold, full Customer Due Diligence shall be carried out regardless of the amount involved.

For all cross-border wire transfers, the Regulated Entity shall obtain and record complete originator and beneficiary information where the amount is equal to or exceeds Rupees 50,000. Domestic wire transfers below this amount shall carry, at a minimum, the originator's account number or a unique transaction reference.

Simplified Due Diligence may be applied to Small Accounts, being accounts where the aggregate of all credits in a financial year does not exceed Rupees 1,00,000, the aggregate of all withdrawals and transfers in a month does not exceed Rupees 10,000, and the balance at any point in time does not exceed Rupees 50,000.

4. Officially Valid Documents

An Officially Valid Document (OVD) means the passport, the driving licence, the Permanent Account Number card, the Voter's Identity Card issued by the Election Commission, a job card issued by NREGA duly signed by a State Government officer, or a letter issued by the National Population Register containing name and address details.

Where the OVD furnished by the customer does not contain updated address details, a utility bill not more than two months old, a property or municipal tax receipt, or a pension payment order may be accepted as a deemed OVD for the limited purpose of proof of address, provided the customer submits an updated OVD within three months.

Regulated Entities shall not insist on any document other than those listed above for the purpose of opening an account, and shall not deny services on the ground that a customer's address differs from the address on the document furnished.

5. Risk Categorisation and Periodic Updation

Every customer shall be categorised as low, medium or high risk, on the basis of the customer's identity, social and financial status, nature of business activity, information about the client's business and their location, and the expected pattern of transactions in the account.

Periodic updation of KYC records shall be carried out at least once every ten years for low risk customers, once every eight years for medium risk customers, and once every two years for high risk customers, from the date of opening of the account or the date of the last KYC updation, whichever is later.

No fresh proof of address or identity shall be sought at the time of periodic updation where there is no change in the customer's details, and a self-declaration from the customer through any digital channel shall be sufficient.

6. Enhanced Due Diligence

Enhanced Due Diligence shall be applied to all customers categorised as high risk, to all Politically Exposed Persons and their family members and close associates, to correspondent banking relationships, and to any business relationship with a person from a jurisdiction identified as high risk under Section 9 of this Direction.

Enhanced Due Diligence requires, in addition to standard Customer Due Diligence, the approval of senior management before establishing or continuing the relationship, the establishment of the source of funds and the source of wealth, and enhanced ongoing monitoring of the relationship.

In the case of a Politically Exposed Person, the decision to open an account shall be taken at a level not below that of the Chief Compliance Officer, and shall be recorded in writing together with the reasons for the decision.

Where a customer is permitted to commence a business relationship before verification is complete, the verification shall be completed within a period not exceeding thirty days, failing which the account shall be closed and the balance returned.

7. Monitoring, Reporting and Record Retention

Regulated Entities shall exercise ongoing due diligence with respect to every business relationship and closely examine transactions in order to ensure that they are consistent with the Regulated Entity's knowledge of the customer, the customer's business and risk profile, and where necessary the source of funds.

A Suspicious Transaction Report shall be furnished to the Financial Intelligence Unit not later than seven working days from the date on which the transaction was concluded to be of a suspicious nature. The internal conclusion shall itself be arrived at within thirty days of the alert being raised.

A Cash Transaction Report shall be furnished in respect of all cash transactions of a value exceeding Rupees 10,00,000, and of all series of integrally connected cash transactions that together exceed that value within one calendar month.

Records of the identity of clients shall be maintained for a period of five years after the business relationship has ended, and records of all transactions shall be maintained for a period of five years from the date of the transaction.

No Regulated Entity, and no director, officer or employee of a Regulated Entity, shall disclose to the customer or to any third party the fact that a Suspicious Transaction Report has been or is being furnished. This prohibition is absolute and is referred to as the tipping-off prohibition.

8. Penalties for Non-Compliance

Failure to comply with any provision of this Direction shall attract a monetary penalty of not less than Rupees 10,000 and not more than Rupees 1,00,000 for each failure, imposed on the Regulated Entity, and separately on the designated Principal Officer where personal culpability is established.

Where a failure is continuing, an additional penalty of Rupees 5,000 per day may be levied for each day after the first during which the failure continues.

Repeated failure in respect of the same provision within a period of twelve months shall be treated as a separate and aggravated contravention, and may additionally attract restrictions on the opening of new accounts.

9. High Risk Jurisdictions

Regulated Entities shall give special attention to business relationships and transactions with persons from jurisdictions that do not or insufficiently apply international standards on combating money laundering and the financing of terrorism.

Where such a jurisdiction is subject to a call for counter-measures, the Regulated Entity shall apply Enhanced Due Diligence proportionate to the risk, and may be directed to limit or terminate business relationships with persons from that jurisdiction.

The background and purpose of all transactions with persons from such jurisdictions that have no apparent economic or lawful purpose shall be examined, and written findings shall be kept available for the supervisor and the auditors for at least five years.